

In some cases this is due to the exclusion of preferred stocks from the category of investment (e.g., the writings of Lawrence Chamberlain), but in most instances no such explanation can be offered. The exceedingly large volume of preferred stock outstanding in recent decades suggests that some discriminating point of view and technique must have been developed for choosing between issues of this type, and it is surprising that more attention has not been given to the matter by those who write books on the “science” of security selection.

In most instances in which the subject receives attention the prior-deductions method of calculation is either explicitly recommended or implicit in the discussion. For example, Carl Kraft and Louis P. Starkweather in their *Analysis of Industrial Securities*, New York, 1930, use this misleading method of calculation in their rather extensive illustrative analysis of Jones Bros. Tea Co. without examining the resultant ratios critically. See p. 127, ratio 20-(b), and pp. 130–132, 162, especially the 1926 and 1927 exhibits.

J. E. Kirshman in his revised *Principles of Investment*, New York, 1933, refers to the coverage on Federal Water Service Corp. Preferred as having been earned “several times over within the past few years,” which is a correct statement only in case the prior-deductions method of calculation is used. The combined fixed charges and preferred dividends were never covered more than 1.37 times during the years 1928–1932, inclusive (see pp. 155–156, 437). Likewise, D. F. Jordan repeatedly states the desired margin of safety for preferred stocks in terms of the number of times the preferred dividends alone are earned. See his *Investments*, 3d rev. ed., pp. 157, 160, 162, 167, 185, 192, New York, 1936. Curiously enough, he sees the fallacy of this method in the case of preferred stocks of public-utility holding companies and recommends the total deductions (over-all) method of calculation (see p. 169).

Floyd F. Burtchett in his *Investments and Investment Policy*, New York, 1938, also embraces the prior-deductions idea (see p. 263, 287, and 325).

Badger and Guthmann, Herschel and Prime, on the other hand, forcefully call attention to the fallacy of the prior-deductions method of calculating coverage for preferred dividends and recommend the total-deductions calculation as standard procedure. See R. E. Badger and H. C. Guthmann, *Investment Principles and Practices*, pp. 348–350, 465–467, New York, 1936; A. H. Herschel, *The Selection and Care of Sound Investments*, pp. 217–222, New York, 1925; John H. Prime, *Analysis of Industrial Securities*, p. 292, New York, 1935.

NOTE 29

See Appendix Note 27 in the 1934 edition of this work.